



The revenge of the supply-side: A new economic regime

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Back in the 2010s, macroeconomic policy was preoccupied by insufficient demand. In historical terms, it was an unusual period of low inflation and low interest rates, where supply-side issues were considered peripheral. If anything, it went almost unquestioned that the supply side of the economy would scale up to meet higher demand.

But in the 2020s so far, we're back in a supply-driven world. Growth has been constrained as much by supply shortages as deficient demand. This year alone, we've seen major consequences from the closure of the Strait of Hormuz, with ramifications for oil prices, inflation and economic growth.

This macro regime shift, where supply rather than demand is the bigger issue, is a tricky environment to navigate, and renders much of the 2010s playbook redundant:

- First, inflation spikes will occur more frequently in a supply-constrained world, as there isn't the spare economic capacity to meet higher demand.
- Second, monetary stimulus also becomes less effective in this environment, as traditional demand-side monetary tools can't deal with the direct cause of supply shocks.
- Third, fiscal stimulus in a supply-constrained environment becomes much more inflationary and is more likely to crowd out private investment.

Looking forward, the return to a supply-driven world means that the primary issue for policymakers will be expanding the productive frontier of the economy. After years where insufficient demand was the main preoccupation, the future of growth now rests on a supply-side expansion that can raise living standards across the board.

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The paradigm shift in thinking: How the biggest economic problem moved from demand to supply

The legacy of the Global Financial Crisis led to a world of demand deficiency

In 2008, the Global Financial Crisis (GFC) marked the worst economic contraction since the Great Depression of the 1930s. Unemployment rose to multi-decade highs and the subsequent recovery was very sluggish, despite huge economic stimulus on a scale previously unheard of in peacetime. This slow recovery was clear in numerous ways, but an obvious one was that the US unemployment rate didn't return to its pre-GFC low until 2017, a full decade later. Meanwhile in the Eurozone, it didn't happen until February 2020, just as the pandemic then sent it higher once again.

This was a world where deficient demand was the main preoccupation of macroeconomic policymaking. Indeed, the Depression-era concept of "secular stagnation" made a comeback, in which the equilibrium interest rate consistent with full employment was negative. In this world, the constraints of the zero lower bound on monetary policy would make it very difficult to get to full employment.

This demand deficiency manifested itself in persistent inflation undershoots. Throughout the 2010s, both the Federal Reserve and the ECB missed their 2% inflation targets on the downside. Policy rates remained close to the zero lower bound, and long-term market interest rates also moved continuously lower. Even before the pandemic, Germany's 10-year bund yield fell to -0.7% in summer 2019. In this environment of negative yields, borrowing was basically a "free lunch".

At the time, there were genuine fears about a permanent low-growth trap. Indeed, when the Covid-19 pandemic began and another economic contraction was underway, there were initially concerns that deflationary pressures would intensify further. For instance, the 10-year US inflation swap (a market-based measure of expectations for US CPI over the next decade) fell to just 0.81% in March 2020. Investors genuinely thought that low inflation and low interest rates were likely to persist for the decade ahead as well, and the 10-year Treasury yield closed at a record low of 0.51% in August 2020.

This fear of deficient demand informed the policy response to Covid-19. The stimulus packages went well beyond those seen in the GFC. For instance, no time was lost in slashing rates back to the zero lower bound, and the fiscal deficits went far above anything previously seen in peacetime. In fact, the US federal deficit stood at -14.5% of GDP in 2020, the biggest since 1945. And with much of the global economy locked down for months, consumers accumulated huge "excess savings" as they couldn't spend on their normal activities.

The pandemic was the turning point towards a world of supply constraints

With hindsight, we can see that all this stimulus and the accumulation of excess savings created a huge demand surge, just as the global economy was experiencing major supply-chain issues as it reopened:

- The lockdown periods saw a big rotation in spending away from services (like dining out, travel, gym memberships) towards durable goods (like home office equipment, electronics, exercise equipment). This overwhelmed existing supply chains.
- Pandemic-related disruption led to major issues with shipping. A severe



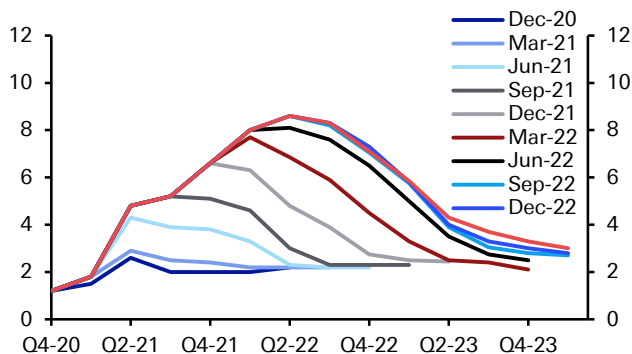
shortage of containers led freight rates to rise more than 5-fold at their peak.

- Labour markets were disrupted, as many took early retirement during the pandemic or changed occupations. Companies therefore had to raise wages to compete for a smaller pool of workers.
- Commodity prices also surged in this period, particularly energy. The pandemic period saw producers cut back on drilling and exploration. But this meant it was more difficult to dial up supply when demand started to rise again, and energy prices surged back, with Brent crude oil moving above its pre-pandemic levels in mid-to-late 2021.

These supply constraints marked a major shift from the environment of the 2010s. Back then, it was almost an unquestioned assumption that the supply-side of the economy would scale up to meet demand. Inflation had been low and the most obvious signs of supply-side stress were not apparent. But now the reverse was true, and inflation was gathering pace again.

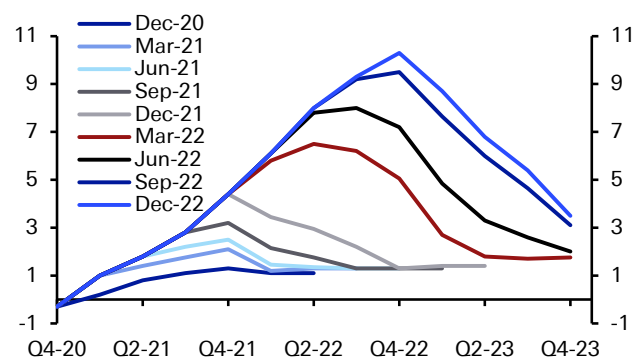
Initially, many argued that this burst of inflation would prove temporary. They argued it was down to one-off factors like the pandemic and the subsequent reopening. Moreover, there was a view that the longer-term disinflationary forces of the previous 30 years would still reassert themselves. But by late-2021, it was clear that the combination of huge stimulus, the drawdown of excess savings, and serious supply-side disruption had created more inflation than anticipated. By December 2021, US CPI had risen to its highest level since 1982, at 7.0%, whilst Eurozone CPI was at its highest since 1991, at 5.0%.

Figure 1: Bloomberg consensus forecasts for US CPI



Source : Bloomberg Finance LP, Deutsche Bank

Figure 2: Bloomberg consensus forecasts for Eurozone CPI



Source : Bloomberg Finance LP, Deutsche Bank

The transition to a supply-constrained world accelerated dramatically in early 2022 with Russia's invasion of Ukraine. Energy prices rose significantly, and European industry was forced to decouple from Russian gas. Meanwhile, the blockade of Ukraine's Black Sea ports restricted the supply of agricultural commodities like wheat and corn, driving food prices higher still.

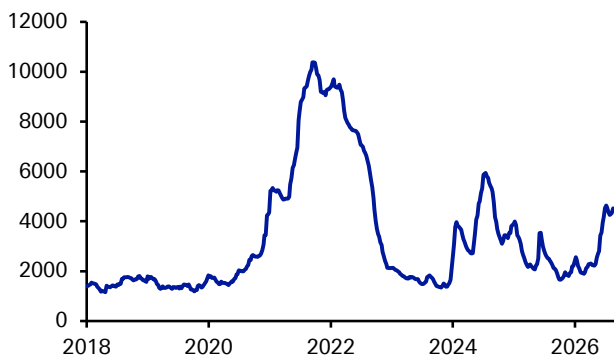
This sent inflation even higher, up to multi-decade highs around the world. US CPI inflation peaked at 9.1% in June 2022, and Eurozone CPI peaked at 10.6% in October 2022. This was the context in which central banks launched into the most aggressive rate hikes in a generation. Over 2022-23, the Federal Reserve hiked rates by 525bps, and the ECB delivered 450bps.



These supply issues persisted long after the pandemic-related issues were over

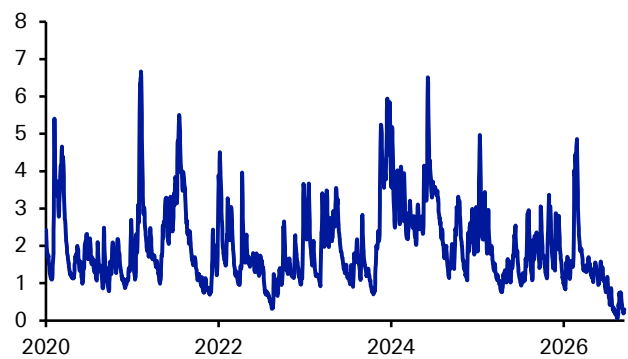
Yet even as the worst of that inflation wave passed, the 2023-24 period kept demonstrating how supply-side disruptions could lead to wider economic problems. For instance, attacks from the Houthi rebels in the Red Sea forced major shipping lines to reroute away from the Suez Canal around the Cape of Good Hope, adding over a week to the length of trips. Meanwhile, an El Nino-induced drought meant transit capacity through the Panama Canal fell 30%, forcing ships to wait in long queues or reroute instead. And in Europe, repeated summer heatwaves have lowered the Rhine's water levels, disrupting industrial barges and affecting industries like chemicals and steel.

Figure 3: Drewry World Container Index Composite Index (USD per 40 Foot Box)



Source : Bloomberg Finance LP, Deutsche Bank

Figure 4: Rhine Water levels at Kaub (metres)



Source : Bloomberg Finance LP, Deutsche Bank

More broadly, the other shift in the post-pandemic period was the growing use of strategic industrial policy, particularly as governments sought to boost domestic manufacturing capacity. For instance, the US passed the Inflation Reduction Act under the Biden administration, which encouraged clean energy investments, as well as the CHIPS Act, which sought to boost semiconductor manufacturing. Tariffs also became a more enduring feature of the landscape, and the Biden administration hiked tariffs on Chinese imports, with those on EVs up from 25% to 100%, whilst semiconductors rose from 25% to 50%.

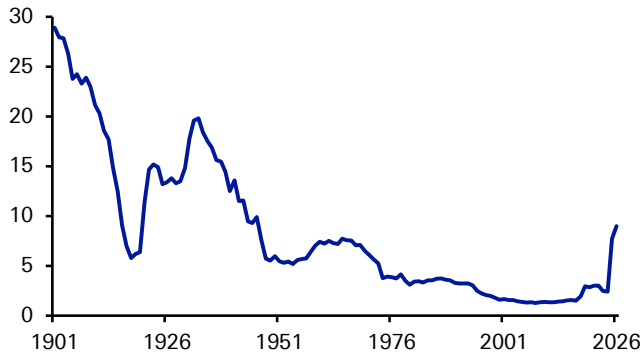
Then under the second Trump administration, tariffs became an even bigger part of the policy toolkit, with the US effective tariff rate surging from 2.6% beforehand to a peak of 23% in April 2025, before settling around 11% currently. Several different measures were introduced, but the macro impacts were clear. In particular, there was a major wave of front-loading of imports in Q1 2025, as those trading internationally sought to get ahead of the announcements. Indeed, the surge in imports meant US GDP contracted slightly in Q1 2025. Moreover, other countries moved to respond, and not just with tariffs of their own. For instance, China introduced export controls on rare earths.

Whilst 2025 was dominated by tariffs, 2026 then brought a fresh supply shock for the global economy with the closure of the Strait of Hormuz. Previously, around 25% of the world's seaborne oil trade had gone through the Strait, including nearly 15 million barrels per day of crude oil. But the start of the US-Iran conflict led the Strait of Hormuz to close, and six months later only limited traffic is still able to pass through. This led to another supply shock, with Brent crude oil prices moving back



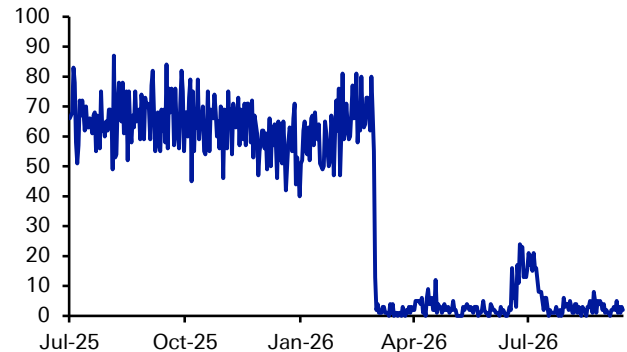
above \$100/bbl, whilst European natural gas futures also reached their highest levels since late-2022. Yet again, the biggest global economic disruption of the year to date has been a supply shock, rather than a demand one.

Figure 5: US Effective Tariff Rate (%) with projected postsubstitution rate from the Yale Budget Lab



Source : Haver Analytics, The Budget Lab at Yale, Deutsche Bank

Figure 6: Strait of Hormuz Tanker Vessel Crossings



Source : Bloomberg Finance LP, Deutsche Bank

Types of supply shocks

Broadly speaking, we can distinguish between three sorts of supply shocks, although there can be considerable overlap between these categories.

1. Temporary supply shocks that have a short-term economic impact.

Example: low river levels blocking a key trade route.

The first category of supply shocks are those that have a temporary impact on the economy. Examples include the blockage of the Suez Canal in 2021 when the Ever Given container ship ran aground, or a drought that causes river levels to fall and means fewer ships can get through key waterways.

These are supply shocks that temporarily remove capacity, but then see a bounce back to “normal”, broadly speaking. For instance, a drought is hopefully not repeated, and when river levels return to normal, supply can resume again.

For the economy, this means the longer-term consequences are also limited. The inflation impact is mean-reverting, and output recovers, often in a V-shape. These are the sort of shocks that central banks are usually able to “look through”, because they don’t cause permanent structural damage to the economy.

2. Medium-term supply shocks that can last several years, with a clear economic impact.

Example: the closure of the Strait of Hormuz.

These kinds of shocks are often driven by geopolitical events or policy decisions, and are longer-lasting shocks which do not have a quick solution. A good example is the current closure of the Strait of Hormuz, but we have seen many in recent years. In theory, these shocks can end, but their length is uncertain and they have material economic impacts. An increase in tariffs also fits into this category, as it forces an adjustment in trade flows, even if they can be reversed in theory.



A good example of this kind of supply shock is the 1973 oil shock. Back in 1973, the oil embargo by OPEC led oil prices to nearly quadruple, and they remained at that higher level for years after. It wasn't simply a temporary adjustment that normalised again.

Unlike the short-term shocks, these medium-term shocks can force a permanent rerouting of trade flows and supply chains. Moreover, they can push inflation higher for an extended period and are more likely to filter through into core inflation categories. And because they are not temporary shocks that quickly adjust, policymakers can't "look through" them as easily. As such, central banks aren't able to accommodate the shock, and often have to hike rates to clamp down on the resulting inflation, as we saw in 2022.

3. Structural supply trends that affect the longer-term growth rate.

Example: Demographic trends.

This category includes the long-term forces on the supply side that affect the economy's growth rate. A good example are demographics and the current situation of ageing populations. Another example are the multi-decade processes of globalization and deglobalization.

These are factors that can permanently shift the productive frontier of the economy. For example, the current situation of ageing populations means that a smaller proportion of the population are of working-age, meaning that labour forces are shrinking. As a result, that constrains the growth rate of potential GDP, meaning that more growth must come from higher productivity rather than a larger number of workers.

These shifting trends can lead to permanent changes in so-called r^* , which is the equilibrium interest rate where full employment is achieved – a level that neither stimulates nor restricts economic activity. In other words, these factors are capable of shifting the economy's potential growth rate, at which it can grow sustainably without generating inflationary pressures.

What happened the last time the supply-side dominated: Lessons from the 1970s

As we consider the return of the supply side, it's worth bearing in mind this is far from the first time that supply shocks have dominated the landscape. Back in the 1970s, the biggest economic shocks of that decade were also supply driven.

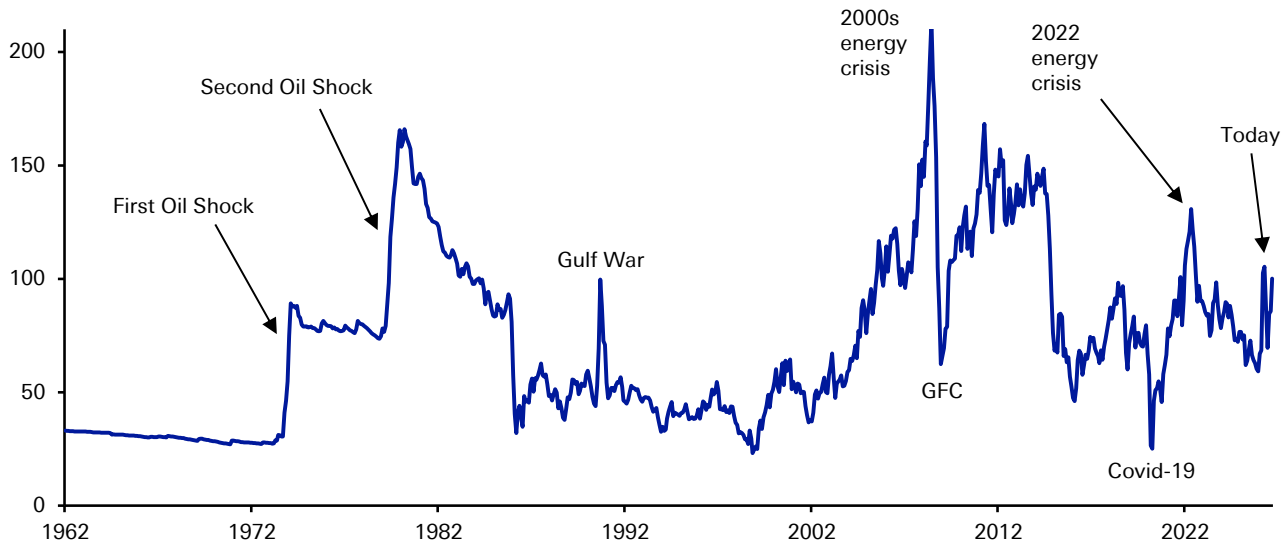
That decade saw two huge oil shocks in 1973 and 1979. In the first, the Organization of Arab Petroleum Exporting Countries (OPEC) placed an embargo on several countries, including the United States, in retaliation for their support for Israel in the Yom Kippur War. This caused oil prices to nearly quadruple, triggering a recession across multiple countries that began in late 1973. Then in 1979, a second oil shock occurred around the time of the Iranian Revolution. That coincided with a big decline in Iran's oil output, before the Iran-Iraq War in 1980 led to further production declines for both countries. As a result, oil prices more than doubled again.

To be fair, there were other demand-side and supply-side shocks that meant inflation got out of hand in the 1970s. But the two oil shocks were the single biggest factors, and created a stagflationary environment in which inflation accelerated



and growth slowed.

Figure 7: WTI Oil Prices (\$/bbl) in real terms



Source : Finaeon, Deutsche Bank

This experience is instructive for today, as the 1970s demonstrated how a repeated set of supply shocks could act in a cumulative way. After all, even if the textbook response is to “look through” a temporary supply shock, a series of consecutive shocks can suddenly feel very permanent when they happen one-after-another. That continuous disruption can then cause inflation expectations to become unanchored, risking the kind of dynamics that trigger wage-price spirals. Indeed, much as economists can focus on “core inflation” that excludes food and energy prices, these are essential goods that are difficult to substitute away from, and play a key role in inflation expectations.

On the bright side, the more optimistic lesson is that supply shocks often force adjustments that prevent a repeat. For instance, back in the 1970s, there was a recognition that Western economies had become overly dependent on Middle Eastern oil, and major efforts were made to reduce that dependence. For instance, the US established the Strategic Petroleum Reserve (SPR) in 1975, and the Department of Energy was established in 1977. Moreover, investments were directed to US energy production, and since 2019, the US has been a net exporter of energy, rather than a net importer.

Clearly the 1970s are far from an exact parallel. Most obviously, economies are far less energy intensive today, so oil shocks don’t have as big an impact today. Nevertheless, the dynamic of repeated supply shocks is one that bears relevance given how that dynamic is re-echoing today, and with inflation still lingering above target in many of the world’s biggest economies.

What are the implications for today?

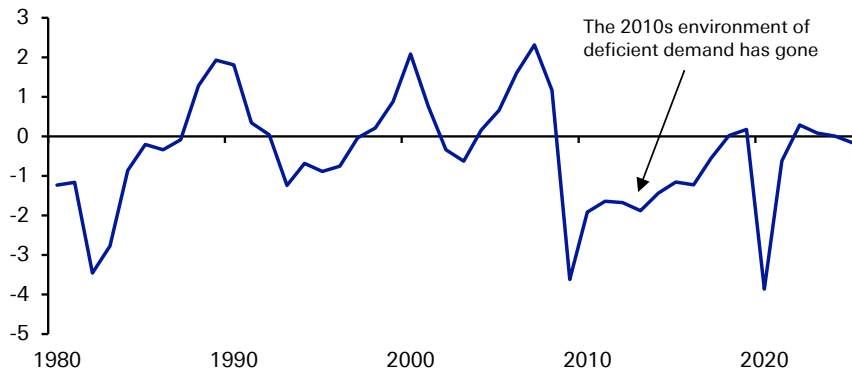
1. Inflation spikes will occur more frequently, as there isn’t the spare economic



capacity to meet higher demand.

The first consequence of a supply-constrained world is that unlike much of the 2010s, there isn't the spare economic capacity (or a negative output gap) that can easily absorb higher demand. So if there is an unexpected demand shock, for whatever reason, the consequence will likely be higher inflation rather than higher output.

Figure 8: IMF: Output Gap in the G7 economies (% of potential GDP)



Source : Haver Analytics, Deutsche Bank

This is a particular risk right now because of those longer-term structural shifts on the supply side. First, global demographics and the retirement of the baby boomers mean that populations are ageing, and many countries now even have shrinking working-age populations. This is a big difference from the world of decades past, when the labour force was generally expanding. Second, the push to reshore production of key industries has also raised costs, as it requires the duplication of supply chains. And third, other structural shifts like the push for higher defence spending have also created an increase in the demand for capital. So there isn't the spare capacity in the economy to absorb higher demand that there was in the 2010s.

This world of more frequent supply shocks means that central banks must also trade off how quickly they want to bring inflation back to target against the potential output volatility that might result. Indeed, we saw this year when the Strait of Hormuz was blocked, central banks didn't immediately react with rate hikes, but they waited a few months to see how the consequences developed. But of course, that has also meant inflation has stayed above target in many countries, often for several years. In fact, US PCE inflation has been above 2% since March 2021.

2. Monetary stimulus becomes less effective, as it can't deal with the direct cause of supply shocks.

Monetary policy has a complex transmission channel, but when central banks cut rates, the aim is usually to stimulate demand. This is a very useful tool in demand-driven recessions like 2008, but it becomes more problematic in the face of supply shocks.

The problem is that when a supply shock hits, whether that's a natural disaster, or the blockage of a key trade route, the economy's productive capacity drops.



Monetary policy cannot affect that directly.

This matters because negative supply shocks have the unfortunate effect of raising inflation and lowering growth simultaneously. So it puts central banks in a very tricky position, as they found in the inflationary environment of the 1970s after the oil shocks. With hindsight, many central banks were too dovish after the first oil shock and inflation got out of control. In the case of the Federal Reserve, that then led to a far more hawkish response to the second oil shock, when Paul Volcker tightened monetary policy significantly to get inflation under control again.

These problems are further exacerbated because central banks operate with uncertainty about the future. Just as we don't know today when the Strait of Hormuz might return to normal, central bankers in 1973 were unsure how long the oil embargo would last. But because central banks make policy that responds with a lag, there is inherently the risk of overshooting. If they expect a supply shock to be permanent, yet it proves temporary, then they risk overtightening. And similarly in reverse, if disruption is expected to be temporary, but proves permanent, they risk not doing enough and letting inflation and inflation expectations rise too much.

3. Fiscal stimulus becomes much more likely to cause overheating and crowding out.

In a supply-constrained world where the economy lacks spare capacity, fiscal stimulus is more likely to overheat the economy and generate inflation.

This is a big shift from the post-GFC world. Back then, unemployment was high and deficient demand meant additional government spending didn't face the same competition from private investment, so the multipliers from that stimulus were much higher. Moreover, several countries were able to borrow at incredibly low interest rates, even negative in some cases.

But this shifted with the pandemic. Not only was the stimulus in 2020 far bigger, but unlike 2008, the economy then saw a huge wave of pent-up demand once the pandemic restrictions were lifted, supported by the excess savings accumulated during the lockdowns. In turn, that contributed to a huge wave of inflation, even before we then had the additional energy and food price shocks in 2022.

Meanwhile, government bond yields have also returned to their pre-GFC levels, making the cost of any stimulus far more expensive. And that comes as we are also seeing a kind of "reverse crowding out", thanks to borrowing from the AI hyperscalers that is adding to pressure on rates. So in this environment, any fiscal stimulus will come at a higher cost.

Conclusion: Looking forward

The transition to a supply-driven world means that many of the old economic assumptions from the 2010s are no longer valid. There's been a structural break that means classic demand-side stimulus is not as effective. After years when it was almost unquestioned that the supply side of the economy would scale up to meet higher demand, we are now back in a world where supply is a meaningful constraint again.

As such, the emphasis will naturally shift towards expanding the supply-side of the

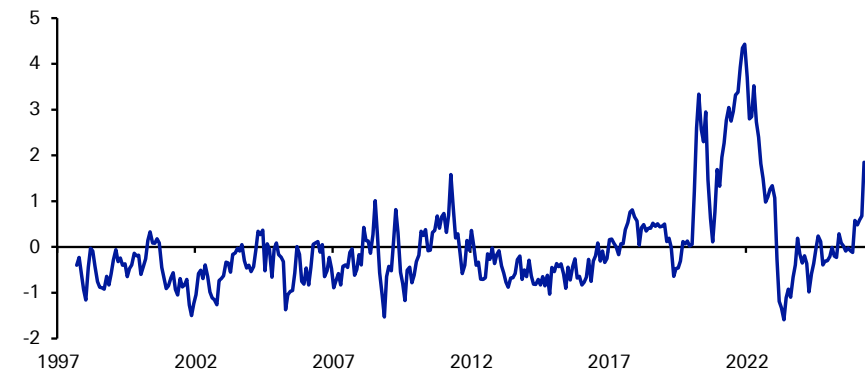


economy, something we're already beginning to see. This could be encouraging more energy production, more housing, or bringing new participants into the labour force. In essence, what's needed are policies that raise the productive potential of the economy, and boost the rate at which the economy can grow without generating inflationary pressures.

These supply shocks in recent years have been a challenge. Even if they might be temporary in isolation, the cumulative effect has been to keep inflation elevated, and we saw that happen back in the 1970s too. This is particularly problematic if the starting point is above-target inflation, as further supply shocks risk unanchoring inflation expectations.

Nevertheless, one consequence of a world of more frequent supply shocks is that actions are then taken to reduce vulnerabilities over the years ahead. For instance, the 1970s oil shocks led to the widespread realisation that the US needed to become less energy intensive and produce more of its own energy. As a result, the Strategic Petroleum Reserve was set up, and the subsequent years saw the US eventually become a net energy exporter. Similarly today, the closure of the Strait of Hormuz has forced other countries to secure alternative supply routes and use strategic reserves. So even before the longer-term geopolitical outcome is clear, we have seen diversification away from one particular chokepoint. In a supply-driven world, the incentives will shift towards making those supply chains more resilient, and better able to withstand future shocks.

Figure 9: New York Fed's Global Supply Chain Pressure Index - the extent of supply-chain pressure in recent years has been very high relative to the previous couple of decades



Source : Bloomberg Finance LP, Deutsche Bank



Appendix 1

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